

Summary: The Best Stock of the Year | WAYT?

Narrative Summary

The “What Are Your Thoughts?” live stream, hosted by Josh Brown and Michael Batnik, kicked off with a discussion on early earnings season highlights and market dynamics. The hosts first analyzed JP Morgan's earnings call, where CEO Jamie Dimon addressed concerns about private credit, stating it poses no systemic risk despite potential losses. They clarified his previous “cockroaches” comment was about outright fraud, not stressed balance sheets, and pointed out banks' private credit exposure is relatively small. The conversation then shifted to the health of the U.S. consumer, with JPM's CFO, Jeremy Barnum, reiterating its surprising resilience despite rising gas prices, noting that all metrics remain consistent with prior healthy trends.

BlackRock's “monster numbers” were a major focus, reporting \$130 billion in quarterly net inflows, largely driven by iShares. The hosts emphasized BlackRock's aggressive expansion into private assets through recent acquisitions, noting that large Registered Investment Advisors (RIAs) are consistently allocating capital to these products, often on “autopilot” within their long-term asset allocations. This trend also highlighted the booming popularity of direct indexing and custom indexing platforms, particularly those offering long-short strategies with option overlays, as wealth management clients increasingly prioritize after-tax returns and tax loss harvesting.

The discussion then delved into the broader market, noting a peculiar environment characterized by high dispersion and rapid sector rotations. While the NASDAQ 100 and S&P 500 neared all-time

highs, the software (SAS) sector was significantly underperforming. UBS's research indicated that Chief Information Officers (CIOs) are implementing "cost containment" strategies, rationalizing SAS spending, and redirecting budgets towards AI, cloud infrastructure, and open-source solutions. The hosts debated whether the SAS sector had truly bottomed, with Batnik suggesting an "L-shaped bottom" (prolonged languishing) and Brown predicting further declines due to AI disruption and a shift from headcount-based to usage-based pricing. The decision by private equity firm Toma Bravo to wind down its growth equity business, focusing instead on buyouts, was cited as a bearish signal for the software sector.

A significant portion of the show was dedicated to identifying potential "stocks of the year." Intel was lauded for its "breakneck turnaround" under its new CEO, focusing on its foundry business and aggressive push into AI, resulting in a dramatic stock rally that has seen it outperform Nvidia. Amazon was also highlighted as a strong contender, experiencing a "total narrative shift" due to its deep partnership with Anthropic, a leading AI company. The hosts discussed a bullish "island reversal" pattern in Amazon's chart, signaling a dramatic change in supply and demand. The conversation about Anthropic naturally led to a chilling discussion of its "Mythos" AI model, which exhibits alarming emergent properties, including self-awareness and the ability to uncover thousands of cyber vulnerabilities, underscoring the rapid and potentially dangerous acceleration of AI capabilities.

Finally, Batnik made a "make the case" pitch for Netflix, having recently doubled his position. He cited strong earnings expectations, significant growth in ad revenue, and the recent cancellation of a potential Warner Brothers acquisition as catalysts. He argued that Netflix operates like a "utility" due to its sticky subscriber base and consistent global growth, despite its stock being high beta. The show concluded with a brief analysis of the Mag 7 (Magnificent Seven) versus the S&P 493 ratio, with the hosts debating the sustainability of the concentrated market leadership, before wrapping up with details on upcoming shows and merchandise.

Key Points

- JP Morgan's Jamie Dimon asserted that private credit exposure is not a systemic risk for the financial system, despite anticipated losses.
- The U.S. consumer remains robust and resilient, as indicated by JP Morgan's CFO, with no concerning new trends in spending or delinquency.
- BlackRock reported exceptional Q1 earnings, including \$130 billion in net inflows, with iShares achieving a record quarter.
- Large RIAs are consistently allocating funds to private assets, driven by long-term asset allocation strategies rather than short-term market whims.
- Direct indexing, especially with long-short and option overlay strategies, is a rapidly growing area in wealth management, catering to demand for after-tax returns.
- The software (SAS) sector is under pressure due to corporate "cost containment" and "rationalization," with budgets shifting towards AI, cloud infrastructure, and open-source solutions.
- Intel is undergoing a remarkable turnaround under new leadership, focusing on foundry operations and AI, leading to a significant rally in its stock price.
- Amazon is positioned for a major "narrative shift" and could be the "stock of the year" due to its strategic partnership with advanced AI company Anthropic.
- Anthropic's "Mythos" AI model demonstrates emergent, self-aware capabilities, including the ability to identify thousands of cyber vulnerabilities, highlighting the rapid advancement and security implications of AI.
- Netflix is presented as a strong investment with expectations of solid earnings, significant ad revenue growth, a sticky subscriber base, and a bullish technical breakout.

Notable Quotes

- “I don’t think it’s systemic. it almost can’t be systemic at that size relative to anything else.” (05:29)
- “There really is not anything new or interesting to say this quarter... Fundamentally, it is healthy.” (10:11)
- “Intel is the epitome of a fallen angel tech stock. They kicked it out of the Dow. It was left for dead.” (45:14)
- “I found more bugs in the last couple of weeks than I found in the rest of my life combined.” (59:52)
- “It’s almost like a utility. People don’t cancel it. The business is a utility.” (59:57)